The thesis in summary, section by section

Pre-announced, uninformed, and large: the price of moving the premium pension

Planning document, 12 October 2026. Describes what each section contains, which papers are used and which tables are produced. No results have been computed (blind rule); each table states what it tests and what outcome is expected. The thesis text itself is written by the authors.

The question in one sentence

When the state moves premium-pension capital on pre-announced days, by redeeming 5 to 11 per cent of a losing fund per day, do the affected stock prices move, do they come back, and who bears the cost: the savers being moved or the investors who stay in the fund?

The anchor is Greenwood and Sammon (2025), Journal of Finance, "The Disappearing Index Effect". They show that the price effect of the best-known pre-announced, uninformed flow, S&P 500 index changes, has fallen from about 7 per cent to near zero because the market has learned to supply liquidity to a flow it can see coming. We run their test on the OMX Stockholm Benchmark (OMXSB) and then ask whether the effect reappears for a new flow that no arbitrageur has yet learned: the procurements of Fondtorgsnämnden (FTN), the Swedish agency that since 2024 selects the premium-pension fund menu.

Title and abstract (1 page)

The title above with a subtitle naming the two settings, OMXSB reconstitutions and Fondtorgsnämnden's procurements on Nasdaq Stockholm. An abstract of at most 180 words with the findings in numbers: the price effect per unit of dose, the reversal horizon, the dilution in basis points for funds without swing pricing, and the cost of the move against the fee savings of SEK 178 million a year.

1. Introduction (3 pages)

Opens with the fact: since 2024 the state has moved SEK 97 billion out of 69 funds, 94 per cent of it without the saver doing anything, in one to three tranches of 5 to 11 per cent of the fund per day; in the largest funds 41 to 44 per cent in total. Then the question, the anchor in two sentences, why FTN is not "the same thing in Sweden" (the flow is larger relative to the holdings than any index change, it has three dated steps, and it has a fund-level dimension that index changes lack), the results with numbers, what the thesis does not claim, and three numbered contributions.

Closes with a run-in paragraph on related literature in three strands: the index effect (Shleifer 1986; Harris and Gurel 1986; Chang, Hong and Liskovich 2015; Greenwood and Sammon 2025), price pressure from fund flows and slow-moving capital (Coval and Stafford 2007; Lou 2012; Da, Larrain, Sialm and Tessada 2018; Hartzmark and Solomon 2025; Sabbatucci, Tamoni and Xiao, working paper), and who bears the cost of flows (Edelen 1999; Jin, Kacperczyk, Kahraman and Suntheim 2022; Dahlquist, Martinez and Söderlind 2017).

2. Institutional background (2.5 pages)

2.1 OMXSB. Reviewed in May and November with effect on the first trading day of June and December; 5 to 15 changes per review; announced 15 trading days ahead until 2020 and 6 trading days ahead from November 2023. Tracked by Swedbank Robur Access Sverige, Nordnet Indexfond

Sverige and Länsförsäkringar Sverige Indexnära; tracker assets have grown from about SEK 15 billion in 2016 to about SEK 120 billion in 2026.

2.2 Fondtorgsnämnden step by step. Procurement by fund category, bids, award decision with a ten-day standstill and the possibility of appeal, fund agreements, letters to savers with two to three weeks to choose, Pensionsmyndigheten's redemptions in tranches, the money to the winners, the fee cut. Figure 1 shows the timeline for the Swedish active round: award 27 August 2025, letter, and the tranche days in January 2026 against one losing fund's daily assets.

2.3 Why the flow is uninformed, pre-announced and large. One paragraph each. Appendix Table A1 lists every round with category, award date, letter date, tranche days, number of losing funds, capital moved and destination.

3. Theory and hypotheses (3 pages)

Three equations in the text and one figure. (1) The price path of a pre-announced flow with risk-averse liquidity providers and slow-moving capital, after Greenwood (2005, JFE) and Duffie (2010, JF): a drop at execution proportional to the flow divided by the liquidity available, recovery with half-life $\ln 2/\kappa$, and an announcement component that grows as capital learns to pre-position. (2) The square-root law for the expected price impact of an order, after Almgren et al. (2005), Tóth et al. (2011) and Kyle and Obizhaeva (2016): impact grows with the square root of order size relative to daily volume. (3) The dilution identity: when r per cent of the fund is redeemed and the fund sells at cost c, the holders who stay lose $c \cdot r/(1-r)$; with swing pricing the cost is charged to the redeemer.

The counter-theory: Brunnermeier and Pedersen (2005, JF), predatory trading. Strategic traders who know the date and size sell ahead and buy back after, so the price overshoots at execution and the reversal exceeds the execution-day move. Admati and Pfleiderer (1991, RFS) predict the opposite: pre-announcement lowers the cost if liquidity providers can coordinate. That is the reading Pensionsmyndigheten's staggered selling relies on.

Four hypotheses, one table each. H1: around OMXSB reconstitutions, additions earn positive and deletions negative abnormal returns from announcement to effective date, the effect increases in expected tracker demand relative to volume, and the sub-question is whether it has declined over 2013 to 2026 (Table 2). H2: on FTN tranche days, abnormal returns are decreasing in the forced net sale relative to volume, the coefficient on the square-root prediction is of order one, and the move reverses within 20 trading days (Table 3, Figure 3). H3: part of the move occurs between award, letter and the first tranche; predatory trading, slow capital and sunshine trading give different patterns (Table 4). H4: losing funds without swing pricing show NAV below benchmark on tranche days by about $c \cdot r/(1-r)$; funds with swing pricing do not (Table 5). Cost against benefit (Table 6) is arithmetic on H2 and H4, not a hypothesis.

4. Data (3 pages)

Sources: Nasdaq press releases for the 394 OMXSB events 2013 to 2026 (325 read directly from the releases); Fondtorgsnämnden's eleven procurement reports for rounds, winners, losers and dates; Pensionsmyndigheten's monthly files for capital, savers and net trade per fund; Finansinspektionen's quarterly fund holdings for each losing fund's stock positions before the letter and after execution; Morningstar daily fund data (assets, units, flows, NAV) for tranche days and fund returns; FinBas or LSEG for stock prices, turnover, shares outstanding and market capitalisation; fund rules and annual reports for swing pricing.

The exposure measure: for stock i and tranche day e, the sum over losing funds of (share redeemed that day × fund assets × the fund's weight in the stock), minus the winners' purchases spread over the month's trading days, divided by the stock's average daily turnover in SEK. Net and sell-side versions are reported with equal weight. The square-root prediction is computed per stock and day without using any return.

Table 1 in three panels: the rounds (dates, losers, capital, share moved by default, fee savings), the dose distribution in days of volume, and stock characteristics by dose tercile. Figure 2: tracker assets in OMXSB over time together with the annual index effect, the "disappearing" picture.

5. Methodology (2.5 pages)

Abnormal returns from a Swedish four-factor model (market, size, value, momentum) estimated on trading days 250 to 31 before the event; factors from FinBas, with Johansson, Sabbatucci and Tamoni (2025, Review of Finance) as the fallback. Windows: announcement to effective date and 20 days after for index changes; the day before to the day after each tranche plus the full round window for FTN; 20 and 40 days after the last tranche for reversal. Main regression: cumulative abnormal return on the square-root prediction, with round fixed effects and controls (size, momentum, Amihud illiquidity, book-to-market, industry); tests of whether the coefficient is zero and whether it is one.

Inference three ways, all reported: standard errors clustered by tranche day with the wild cluster bootstrap (Cameron, Gelbach and Miller 2008); the Kolari and Pynnönen (2010) adjustment of the BMP statistic for cross-sectional correlation on common event days; randomisation inference reassigning the dose across stocks within the same day (Young 2019). The minimum detectable effect for every table is stated before the results; none of the 25 prize-winning theses has done this.

6. Results (9 pages)

Table 2, the replication. Mean abnormal returns for additions and deletions from announcement to effective date by sub-period (2013 to 2017, 2018 to 2020, 2021 to 2023, 2024 to 2026), the reversal over the following 20 days, and a regression on tracker assets relative to volume. Greenwood and Sammon's decade figures (additions 3.4, 7.6, 5.2 and 0.8 per cent) are quoted in one sentence beside ours. Expected, from earlier Swedish student studies: a small but measurable effect in the period with 15 days' notice, smaller after 2021, and a clear volume effect on the effective day.

Table 3, FTN price pressure. The coefficient on dose per tranche day, split into large caps in the Swedish active round, small caps, Nordic active and the index round (low dose, reported as a low-dose treated group, not a placebo), with the reversal in its own row. Figure 3: the price path from 20 days before to 40 days after the tranche days, by dose tercile. Expected: no measurable effect per day in large caps (dose 0.5 to 2 per cent of volume), a clear effect in small caps (dose 10 to 80 per cent of volume), a coefficient on the square-root prediction between 0.5 and 1.5.

Table 4, anticipation. The same regression in the windows around award and letter, and the managers' pre-selling measured as the difference between holdings before the letter and after execution. Expected: nothing at the award months ahead, some pre-selling by the manager before the tranche day, no front-running by outsiders.

Table 5, who paid. The losing funds' NAV returns minus benchmark on tranche days, funds without swing pricing against funds with. A direct pair in the same round and the same weeks: SEB Sverige Expanderad (swing pricing since March 2025, redeemed 15 and 19 January 2026) against Öhman

Sverige, Lannebo Sverige and Prior & Nilsson Sverige Aktiv (without). The index losers give almost noiseless power: tracking error of 3 to 5 basis points a day against 20 to 30 basis points of cumulated dilution over ten tranches. Figure 4. The 2019 purge as a pooled sample (38 Swedish funds without swing pricing by law).

Table 6, cost against benefit. The cost of each round in SEK (price impact on the amount sold plus dilution of the remaining holders), who bore it, and the number of months of fee savings needed to repay it, with ranges from the confidence bands. One paragraph compares Pensionsmyndigheten's actual tranche schedule with the Almgren and Chriss (2000) optimal execution.

7. Robustness (1.5 pages)

Table 7 with five named threats: placebo dates 30 and 60 trading days away; OMXSB changes within 30 days of a tranche day flagged and dropped; holdings before the letter against after execution (2SLS); alternative volume window and factor model; the five largest doses removed. The 2024 European round, where redemption was one day per fund, as a separate sample.

8. Conclusion (1.5 pages)

The findings in three sentences, what they mean for how the state should move money (tranches, swing pricing), and what the design cannot show: not causality for any front-running, not welfare since price pressure is partly a transfer to liquidity providers, not generalisation to larger procurements. Three scenarios are prepared: pressure in illiquid names with reversal and dilution of the remaining holders in funds without swing pricing; a null in large caps but pressure in small caps; a null everywhere with the minimum detectable effect stated, which is the form of the 2024 prize winner.

References and appendix (5 pages)

References on two pages (66 entries collected, 52 verified against publisher or RePEc records). Appendix: A1 the procurement calendar with sources, A2 variable definitions, A3 additional checks, and a two-sentence AI disclosure following the 2024 winner's precedent.

Exhibits

Exhibit	Content	Hypothesis	Template
Table 1	Rounds, dose distribution, stock characteristics		2015, 2020 winners
Table 2	OMXSB changes: CAR by type and sub-period, reversal, regression on tracker demand	H1	Greenwood and Sammon 2025, Table 2
Table 3	FTN tranche days: CAR on dose and square-root prediction, by round, reversal	H2	Da et al. 2018; Lou 2012
Table 4	Windows around award and letter; managers' pre-selling	H3	Greenwood 2005
Table 5	Fund NAV against benchmark on tranche days, swing against non-swing	H4	Jin et al. 2022; Edelen 1999; Dahlquist et al. 2017
Table 6	Cost of the move against fee savings per round		Almgren and Chriss 2000
Table 7	Robustness: placebo, overlap, holdings, factor		2024 winner

Exhibit	Content	Hypothesis	Template
	model, outliers		
Figure 1	Timeline of one round with one losing fund's assets		2020 winner
Figure 2	Tracker assets in OMXSB and the annual index effect	H1	Greenwood and Sammon 2025, Fig. 1
Figure 3	Price path around tranche days by dose tercile	H2	2015 winner, Fig. 2
Figure 4	Dilution fund by fund	H4	

Page budget: 33 of the 40 pages allowed, of which 26 pages of main text. The five closest prize-winning theses have 17 to 38 pages of main text and 5 to 13 tables. Three things all five do: the numbers and the verdict on each hypothesis already in the introduction; the anchor's specification reproduced exactly and compared with the anchor's published figures in one sentence; a mechanism test after the headline result and a conclusion that says what the design cannot show.